Forecasting method FARFIMA(1,1,0) Functional IC CV

FARFIMA(1,d,0)

FARFIMA(0,d,1)

FARFIMA(2,d,0)

FARFIMA(1,d,1)

ψ = 0.2 ψ = 0.5 ψ = 0.8

ν = 0.2 ν = 0.5 ν = 0.8

ψ = ν = 0.2 ψ = ν = 0.5 ψ = ν = 0.8

d = 0.2 d = 0.6 d = 1 d = 1.4

Empirical coverage probability

0.850 0.825 0.800 0.775 0.750

1 2 3 4 5 6 7 8 9 10

Forecast horizon h